

**Time:** 5 minutes**Outcome:** Distinguish annual budget flows from accumulated public debt.**Difficulty:** ●●○ Intermediate

Deficits, Debt, and Government Borrowing

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THE CORE IDEA

A budget deficit occurs when government outlays exceed revenues during a period; it is financed by borrowing and tends to add to public debt. A surplus can reduce debt if used for repayment. Debt is the accumulated stock of outstanding borrowing, not the current year's deficit. Borrowing can finance valuable investment or current spending, so its effects depend on use, scale, interest costs, and economic conditions.

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HOW TO RECOGNIZE IT

- Deficit: one period's negative budget balance; debt: outstanding stock at a date.
- New borrowing generally rises with a deficit and adds to debt.
- Interest payments can absorb future budget resources.
- Lower public saving links deficits to loanable funds and possible crowding out.

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WATCH OUT

Do not call the debt the sum of all past spending or claim all debt is automatically harmful. Debt changes with deficits, surpluses, interest, repayments, and accounting adjustments.

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WORKED EXAMPLE: UPDATING THE DEBT STOCK

KEY RELATIONSHIPS

- Deficit adds to borrowing
- Surplus can repay debt
- Ending debt = beginning debt + deficit - surplus
- Interest costs use future resources
- Economic effects depend on context

Public debt begins at \$900 billion. A \$120 billion deficit adds borrowing; the next year's \$20 billion surplus is used to repay debt. Ignoring other adjustments, debt becomes $\$900 + \$120 - \$20 = \$1,000$ billion. The two annual balances are flows; \$1,000 billion is the ending stock.

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CHECK YOURSELF

Can the debt remain positive in a year with a budget surplus? Explain briefly.

**READY?****Return to the game and master this concept.**